Quillwood Credit Partners

Origination and credit | Internal working paper

Indicative Term Sheet
Elan West BTR Pty Ltd

A$74.0M senior secured stabilised investment facility, Westmead NSW

Prepared for Elan West BTR Pty Ltd and Elan Living

Prepared by Quillwood Credit Partners

17 October 2025

Version 1.0, non-binding, subject to credit approval

Reference: QCP-TS-2025-1017-EW

Date: 17 October 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Elan West BTR Pty Ltd (ABN 46 975 038 650)
Sponsor	Elan Living Group Pty Ltd (trading as Elan Living)
Registered address	Level 9, 33 Marsden Street, Parramatta NSW 2150
Property	Elan West, 41 Darcy Road, Westmead NSW 2145
Lender	Quillwood Credit Partners
Date	17 October 2025

Transaction details

1. Purpose and status

Quillwood Credit Partners is pleased to provide this indicative term sheet for the refinance of Elan West, a completed 188 apartment build-to-rent building in the Westmead health and education precinct. It is based on the information memorandum dated 4 August 2025, the Halvorsen Pryce Valuers Pty Ltd valuation dated 22 August 2025, the Brannigan Tait Quantity Surveyors Pty Ltd report dated 15 August 2025, the financial statements dated 12 September 2025 and management accounts to 30 September 2025. This document is non-binding and creates no obligation to lend until credit approval is given and definitive documents are executed.

2. Facility terms

Term	Indicative position
Facility	Senior secured stabilised investment (term) facility, interest only
Limit	A$74.0M
Tenor	36 months from first drawdown
Purpose	Refinance existing bank construction-to-term facility of A$72.4M; fund fees, costs and hedging set-up of A$1.6M
Property value	A$117.5M as stabilised (5.40% capitalisation rate)
Opening LVR	63.0%
Repayment	Interest only, with full repayment at maturity

Summary of facility terms

3. Pricing and fees

Item	Indicative rate
Margin	3 month BBSW plus 2.85% per annum
All-in rate	About 6.45% per annum (3 month BBSW of 3.60%)
Establishment fee	1.00% of the limit (A$0.74M)
Line fee	0.85% per annum on undrawn amounts if staged
Hedging	Minimum 75% of drawn debt hedged for the term

Pricing is indicative only and subject to credit approval

4. Security and support

- First registered mortgage over 41 Darcy Road, Westmead NSW 2145.
- General security agreement over all present and after-acquired property of the borrower.
- Sponsor completion and income support deed from Elan Living Group Pty Ltd.

- Assignment of the management agreement with Elan Living Operations Pty Ltd, with a subordination of management fees on default.

5. Key credit metrics and covenants

On the proposed A$74.0M facility, net debt is A$71.9M after cash of A$2.1M. EBITDA is A$6.35M on revenue of A$8.7M and operating expenses of A$2.35M. Covenant levels below are proposed for discussion and remain subject to credit approval.

Metric	Opening	Proposed covenant
LVR	63.0%	Maximum 65.0%
Interest cover ratio	1.33x	Minimum 1.20x
Debt yield	8.6%	Minimum 7.5%
Net debt to EBITDA	11.3x	Reported quarterly
Occupancy	95.3%	Minimum 90.0%

Opening metrics and proposed covenants

6. Principal risks

The main risks Quillwood Credit Partners will test in due diligence are listed below.

- Refinance and interest rate risk: ICR of 1.33x leaves limited headroom to base rate rises beyond the hedged portion.
- Rental and occupancy risk: new BTR supply is expected in Parramatta and Westmead over 2025 to 2027 against average rents of about A$887 per week.
- Valuation risk: a 50 basis point softening in the capitalisation rate would reduce value by roughly A$10M and lift LVR to about 69%.
- Concentration and operator risk: single asset, exposed to healthcare and university demand, and reliant on Elan Living Operations Pty Ltd.
- Defects and compliance risk: residual defects liability and statutory warranty matters under the NSW building reforms.

7. Conditions precedent

- Credit approval by Quillwood Credit Partners and satisfactory completion of legal, valuation and financial due diligence.
- Reliance on the Halvorsen Pryce valuation and the Brannigan Tait report, including a defects schedule.
- Executed hedging in line with the minimum hedge requirement.
- Payoff letter and discharge of the existing bank security.
- Satisfactory legal opinions from Marlow & Finch Lawyers and evidence of insurances.

8. Sign-off

Prepared by	Quillwood Credit Partners, Real Estate Credit
Reviewed by	Credit approver, to be confirmed
Status	Indicative, non-binding, subject to credit approval